



KENYA REINSURANCE CORPORATION LTD
CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND COMPREHENSIVE INCOME
FOR THE PERIOD ENDED 30 JUNE 2018

	Long-Term Business 30.06.2018 sh'000'	Short-Term Business 30.06.2018 sh'000'	Unaudited Total 30.06.2018 sh'000'	Unaudited Total 30.06.2017 sh'000'
INCOME				
Gross Written Premium	506,788	5,825,658	6,332,446	7,504,451
Outward Reinsurance Premium	-	(396,646)	(396,646)	(172,483)
Net Written Premium	506,788	5,429,012	5,935,800	7,331,968
Change in unearned premiums	-	435,861	435,861	(242,786)
Net Earned Premium	506,788	5,864,872	6,371,661	7,089,182
Investment Income	393,479	1,511,073	1,904,552	1,671,447
Acquisition cost recoveries	-	183	183	9,015
Other Income	-	35,601	35,601	35,896
Total Income	900,268	7,411,729	8,311,996	8,805,540
OUTGO				
Claims & Policyholder benefits	(281,179)	(3,299,836)	(3,581,015)	(3,617,066)
Less: Reinsurers' share of claims	-	218,858	218,858	9,916
Net claims and policyholders benefits	(281,179)	(3,080,978)	(3,362,157)	(3,607,150)
Cedant acquisition costs	(177,026)	(1,651,163)	(1,828,188)	(2,101,120)
Operating & other expenses	(107,296)	(637,815)	(745,110)	(698,612)
Provision for doubtful debts	-	(619,756)	(619,756)	(104,334)
Total outgo	(565,501)	(5,989,711)	(6,555,212)	(6,511,216)
Profit before tax	334,767	1,422,018	1,756,784	2,294,324
Income tax expense	(100,430)	(426,605)	(527,035)	(672,227)
Profit for the period after Tax	234,337	995,412	1,229,749	1,622,097
OTHER COMPREHENSIVE INCOME/(LOSS)				
Fair value gain on available for sale financial assets, net of tax	-	(294,600)	(294,600)	152,620
Total other comprehensive income/(loss) for the period	-	(294,600)	(294,600)	152,620
Total comprehensive income	234,337	700,812	935,149	1,774,717
Earnings per Share			1.76	2.32

Jadhah Mwarania
Principal Officer

David Kemei
Chairman

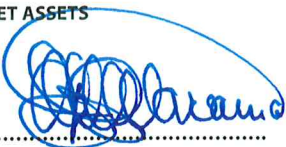
Anthony Munyao
Director

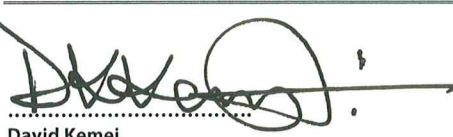


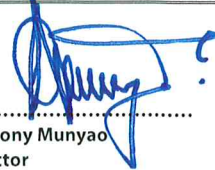


KENYA REINSURANCE CORPORATION LTD
CONSOLIDATED STATEMENT OF FINANCIAL POSITION
AS AT 30 JUNE 2018

	Long-Term Business 30.06.2018 sh'000'	Short-Term Business 30.06.2018 sh'000'	Unaudited Total 30.06.2018 sh'000'	Audited Total 31.12.2017 sh'000'	Unaudited Total 30.06.2017 sh'000'
SHAREHOLDERS FUNDS					
Share Capital	500,000	1,249,873	1,749,873	1,749,873	1,749,873
Revaluation Reserve	-	15,317	15,317	15,317	3,795
Fair Value Reserve	-	84,212	84,212	378,812	408,457
Translation reserve	-	327,558	327,558	327,558	370,767
Statutory Reserve	4,173,828	-	4,173,828	3,939,491	3,705,928
Retained Earnings	-	21,789,445	21,789,445	20,794,033	19,669,193
TOTAL SHAREHOLDERS FUNDS	4,673,828	23,466,404	28,140,232	27,205,084	25,908,013
ASSETS					
Investment Property	1,601,205	8,061,316	9,662,521	9,622,000	8,917,950
Property & Equipment	12,546	72,994	85,539	76,559	84,196
Intangible Assets	74,188	431,635	505,823	536,122	396,382
Investment in Associate	-	4,399,320	4,399,320	4,399,320	3,998,286
Deferred acquisition costs	-	1,257,005	1,257,005	1,408,301	1,376,482
Unquoted equity instruments	-	202,231	202,231	202,231	202,231
Inventory	-	16,390	16,390	19,897	51,708
Non current assets held for sale	-	23,000	23,000	23,000	28,098
Mortgage loans	-	611,010	611,010	658,425	660,511
Receivables arising out of reinsurance arrangements	336,595	3,485,659	3,822,254	4,315,378	4,614,294
Premium and loss reserves	-	230,819	230,819	306,956	231,177
Other Receivables	-	573,505	573,505	248,628	90,983
Income Tax Receivable	-	126,869	126,869	126,869	-
Corporate bonds	-	479,565	479,565	482,696	479,894
Quoted equity instruments	257,449	1,497,964	1,755,413	2,107,855	2,205,112
Government Securities	4,171,906	12,516,068	16,687,974	14,562,840	11,924,950
Deposits in financial institutions	2,289,492	527,801	2,817,294	3,408,386	4,851,667
Cash & Bank Balances	32,928	324,935	357,863	227,204	607,784
Defined benefit asset	-	-	-	-	14,334
TOTAL ASSETS	8,776,308	34,838,087	43,614,395	42,732,667	40,736,039
LIABILITIES					
Long term reinsurance Contract Liabilities	2,405,710	-	2,405,710	2,392,423	2,233,218
Short term reinsurance Contract Liabilities	-	5,938,484	5,938,484	5,737,138	5,577,414
Unearned Premiums	-	4,678,081	4,678,081	5,113,942	4,756,490
Payables arising out of reinsurance arrangements	27,908	907,122	935,030	670,487	754,139
Deferred tax liability	1,668,862	(723,875)	944,987	944,987	902,758
Defined Benefit Liability	-	25,226	25,226	25,226	-
Other payables	-	506,497	506,497	643,380	454,570
Tax payable	-	40,148	40,148	-	149,437
TOTAL LIABILITIES	4,102,480	11,371,683	15,474,163	15,527,583	14,828,026
NET ASSETS	4,673,828	23,466,404	28,140,232	27,205,084	25,908,013


 Jadhah Mwarania
 Principal Officer

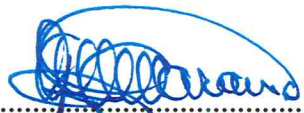

 David Kemei
 Chairman


 Anthony Munyao
 Director

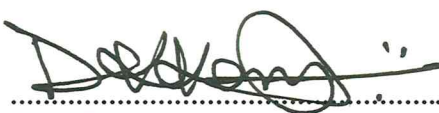


KENYA REINSURANCE CORPORATION LTD
CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE PERIOD ENDED 30 JUNE 2018

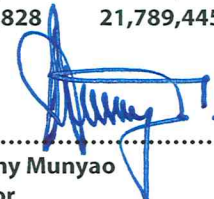
	Share capital Sh'000'	Revaluation reserve Sh'000'	Fair value reserve Sh'000'	Translation reserve Sh'000'	Statutory reserve Sh'000'	Retained earnings Sh'000'	Total Sh'000'
At 1 January 2017	1,749,873	3,795	255,837	370,767	3,502,132	18,250,893	24,133,297
Profit for the period 30.12.2017	-	-	-	-	437,359	3,139,981	3,577,340
Other comprehensive income (loss)/income	-	11,522	122,975	(43,209)	-	(36,882)	54,406
Total comprehensive income	-	11,522	122,975	(43,209)	437,359	3,103,099	3,631,746
Dividends declared - 2016	-	-	-	-	-	(559,959)	(559,959)
Transfer of excess depreciation	-	-	-	-	-	-	-
Deferred taxation thereon	-	-	-	-	-	-	-
At 31 DECEMBER 2017	1,749,873	15,317	378,812	327,558	3,939,491	20,794,033	27,205,084
At 1 January 2018	1,749,873	15,317	378,812	327,558	3,939,491	20,794,033	27,205,084
Profit for the period 30.06.2018	-	-	-	-	234,337	995,412	1,229,749
Other comprehensive income (loss)/income	-	-	(294,600)	-	-	-	(294,600)
Total comprehensive income	-	-	(294,600)	-	234,337	995,412	935,149
At 30 JUNE 2018	1,749,873	15,317	84,212	327,558	4,173,828	21,789,445	28,140,232



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Jadhiah Mwarania
Principal Officer



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David Kemei
Chairman



.....
Anthony Munyao
Director

KENYA REINSURANCE CORPORATION LTD
CONDENSED CONSOLIDATED CASH FLOW STATEMENT

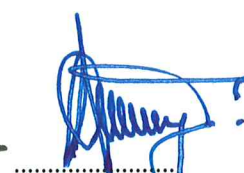
	Unaudited 30.06.2018 Sh'000'	Audited 31.12.2017 Sh'000'	Unaudited 30.06.2017 Sh'000'
Operating activities			
Net cash generated from operations	793,413	1,683,873	795,886
Interest received on corporate bonds	29,089	59,530	30,241
Interest received on government securities	802,991	1,226,804	728,131
Interest received on staff mortgages and loans	16,411	16,411	8,135
Interest received on deposits with financial institutions	22,446	304,967	20,320
Interest received on commercial mortgages	24,572	54,748	27,844
Tax paid in the year	(423,583)	(1,248,195)	(705,137)
Net cash generated from operating activities	1,265,339	2,098,138	905,420
Investing activities			
Purchase of investment property	(40,521)	(46,923)	(14,950)
Purchase of property and equipment	(8,980)	(30,040)	-
Proceeds on sale of property and equipment	-	765	-
Proceeds on disposal of non current assets held for sale	-	15,500	-
Purchase of intangible assets	-	(252,620)	(67,524)
Purchase of government securities	(5,417,301)	(5,401,776)	(1,424,139)
Proceeds on maturity of government securities	3,426,000	2,876,600	1,301,000
Purchase of quoted equity instruments	-	-	-
Proceeds on sale of quoted equity instruments	259,377	273,605	142,455
Proceeds on redemption of corporate bonds	2,962	5,925	2,963
Dividends received on quoted equity instruments	52,690	111,489	68,745
Purchase of shares in associate company	-	-	-
Net cash used in investing activities	(1,725,773)	(2,447,475)	8,550
Cash flows from financing activities			
Dividends paid	-	(559,959)	-
Net increase (decrease) in cash and cash equivalents	(460,434)	(909,296)	913,970
At the beginning of period	3,635,590	4,545,481	4,545,481
effect of unrealised exchange rate changes	-	(595)	-
At the end of period	3,175,156	3,635,590	5,459,451



Jadhah Mwarania
Principal Officer



David Kemei
Chairman



Anthony Munyao
Director





KENYA REINSURANCE CORPORATION LTD
COMPANY STATEMENT OF PROFIT OR LOSS AND COMPREHENSIVE INCOME
FOR THE PERIOD ENDED 30 JUNE 2018

	Long-Term Business 30.06.2018 sh'000'	Short-Term Business 30.06.2018 sh'000'	Unaudited Total 30.06.2018 sh'000'	Unaudited Total 30.06.2017 sh'000'
INCOME				
Gross Written Premium	506,788	5,435,324	5,942,112	7,085,385
Outward Reinsurance Premium		(396,646)	(396,646)	(172,483)
Net Written Premium	506,788	5,038,678	5,545,466	6,912,902
Change in unearned premiums	-	424,533	424,533	(179,073)
Net Earned Premium	506,788	5,463,211	5,969,999	6,733,829
Investment Income	342,761	1,544,005	1,886,767	1,662,389
Acquisition cost recoveries		183	183	9,015
Other Income	-	35,601	35,601	35,896
Total Income	849,550	7,042,999	7,892,549	8,441,129
OUTGO				
Claims & Policyholder benefits	(281,180)	(3,199,217)	(3,480,397)	(3,545,768)
Less: Reinsurers' share of claims	-	218,858	218,858	9,916
Net claims and policyholders benefits	(281,180)	(2,980,359)	(3,261,538)	(3,535,852)
Cedant acquisition costs	(177,026)	(1,535,749)	(1,712,774)	(2,000,561)
Operating & other expenses	(101,864)	(590,691)	(692,555)	(655,381)
Provision for doubtful debts	-	(562,453)	(562,453)	(78,697)
Total outgo	(560,070)	(5,669,251)	(6,229,321)	(6,270,491)
Profit before tax	289,480	1,373,748	1,663,228	2,170,638
Income tax expense	(86,844)	(412,124)	(498,968)	(635,988)
Profit for the period after Tax	202,636	961,624	1,164,259	1,534,650
OTHER COMPREHENSIVE INCOME/(LOSS)				
Fair value gain on available for sale financial assets, net of tax	-	(294,600)	(294,600)	152,620
Total other comprehensive income/(loss) for the period	-	(294,600)	(294,600)	152,620
Total comprehensive income	202,636	667,024	869,659	1,687,270

Earnings per Share

1.66

2.19

Jadhah Mwarania
Principal Officer

David Kemei
Chairman

Anthony Munyao
Director





KENYA REINSURANCE CORPORATION LTD
COMPANY STATEMENT OF FINANCIAL POSITION
AS AT 30 JUNE 2018

	Long-Term Business 30.06.2018 sh'000'	Short-Term Business 30.06.2018 sh'000'	Unaudited Total 30.06.2018 sh'000'	Audited Total 31.12.2017 sh'000'	Unaudited Total 30.06.2017 sh'000'
SHAREHOLDERS FUNDS					
Share Capital	500,000	1,249,873	1,749,873	1,749,873	1,749,873
Revaluation Reserve	-	15,317	15,317	15,317	3,795
Fair Value Reserve	39,841	44,371	84,212	378,812	408,457
Other Reserves (Translation reserve)	-	328,338	328,338	328,338	371,547
Statutory Reserve	4,088,007	-	4,088,007	3,885,371	3,700,378
Retained Earnings	-	21,970,415	21,970,415	21,008,791	19,557,984
	4,627,848	23,608,314	28,236,162	27,366,502	25,792,034
TOTAL SHAREHOLDERS FUNDS					
ASSETS					
Investment Property	1,590,200	8,072,321	9,662,521	9,622,000	8,917,950
Property & Equipment	-	57,653	57,653	56,962	63,406
Intangible Assets	333,612	172,211	505,823	536,122	396,382
Investment in Associate	-	4,399,320	4,399,320	4,399,320	3,998,286
Investments in Subsidiary	-	187,782	187,782	187,782	187,782
Deferred acquisition costs	-	1,174,907	1,174,907	1,318,322	1,295,651
Unquoted equity instruments	-	202,231	202,231	202,231	202,231
Inventories	-	16,390	16,390	19,897	50,647
Tax Recoverable	-	-	-	95,850	-
Non current assets held for sale	-	23,000	23,000	23,000	28,098
Mortgage loans	-	610,398	610,398	658,423	660,511
Receivables arising out of reinsurance arrangements	336,595	3,245,701	3,582,296	3,988,095	4,355,616
Premium and loss reserves	-	116,450	116,450	184,420	179,822
Due from related parties	-	64,094	64,094	63,438	63,293
Other Receivables	-	556,292	556,292	228,918	89,660
Corporate bonds	-	479,565	479,565	482,696	479,894
Quoted equity instruments	309,075	1,446,338	1,755,413	2,107,855	2,205,112
Government Securities	3,985,015	12,702,959	16,687,974	14,562,840	11,924,950
Deposits in financial institutions	2,142,904	348,845	2,491,748	3,092,508	4,592,375
Cash & Bank Balances	32,928	295,647	328,575	153,247	496,839
Defined benefit asset	-	-	-	-	14,334
TOTAL ASSETS	8,730,328	34,172,104	42,902,433	41,983,926	40,202,839
LIABILITIES					
Long term reinsurance Contract Liabilities	2,405,710	-	2,405,710	2,392,423	2,233,218
Short term reinsurance Contract Liabilities	-	5,520,764	5,520,764	5,319,405	5,488,400
Unearned Premiums	-	4,356,789	4,356,789	4,781,322	4,477,131
Payables arising out of reinsurance arrangements	27,909	662,650	690,559	480,676	715,771
Deferred tax liability	1,668,862	(723,875)	944,987	944,987	902,758
Defined Benefit Liability	-	25,226	25,226	25,226	-
Due to Related Party	-	75,899	75,899	61,380	-
Other payables	-	473,280	473,280	612,005	449,312
Tax payable	-	173,056	173,056	-	144,215
TOTAL LIABILITIES	4,102,481	10,563,790	14,666,271	14,617,424	14,410,805
NET ASSETS	4,627,848	23,608,315	28,236,162	27,366,502	25,792,034

.....
Jadiah Mwarania
Principal Officer

.....
David Kemei
Chairman

.....
Anthony Munyao
Director



KENYA REINSURANCE CORPORATION LTD
COMPANY STATEMENT OF CHANGES IN EQUITY
FOR THE PERIOD ENDED 30 JUNE 2018

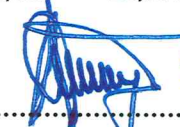
	Share capital Sh'000'	Revaluation reserve Sh'000'	Fair value reserve Sh'000'	Translation reserve Sh'000'	Statutory reserve Sh'000'	Retained earnings Sh'000'	Total Sh'000'
At 1 January 2017	1,749,873	3,795	255,837	371,547	3,496,869	18,226,843	24,104,764
Profit for the period 31.12.2017	-	-	-	-	388,502	3,378,789	3,767,291
Other comprehensive income (loss)/income	-	11,522	122,975	(43,209)	-	(36,882)	54,406
Total comprehensive income	-	11,522	122,975	(43,209)	388,502	3,341,907	3,821,697
Dividends declared - 2016						(559,959)	(559,959)
At 31 December 2017	1,749,873	15,317	378,812	328,338	3,885,371	21,008,791	27,366,502
At 1 January 2018	1,749,873	15,317	378,812	328,338	3,885,371	21,008,791	27,366,502
Profit for the period 30.06.2018	-	-	-	-	202,636	961,624	1,164,259
Other comprehensive income (loss)/income	-		(294,600)	-	-	-	(294,600)
Total comprehensive income	-	-	(294,600)	-	202,636	961,624	869,659
At 30 JUNE 2018	1,749,873	15,317	84,212	328,338	4,088,007	21,970,415	28,236,161



Jadiah Mwarania
Principal Officer



David Kemei
Chairman



Anthony Munyao
Director



KENYA REINSURANCE CORPORATION LTD
CONDENSED COMPANY CASH FLOW STATEMENT

	Unaudited 30.06.2018 Sh'000'	Audited 31.12.2017 Sh'000'	Unaudited 30.06.2017 Sh'000'
Operating activities			
Net cash generated from operations	818,744	1,581,939	722,839
Interest received on corporate bonds	29,089	59,530	30,241
Interest received on government securities	802,991	1,226,804	728,131
Interest received on staff mortgages and loans	16,411	16,200	8,135
Interest received on deposits with financial institutions	22,446	286,284	11,262
Interest received on commercial mortgages	24,572	54,748	27,844
Tax paid in the year	(423,583)	(1,248,194)	(705,137)
Net cash generated from operating activities	1,290,670	1,977,311	823,315
Investing activities			
Purchase of investment property	(40,521)	(46,923)	(14,950)
Purchase of property and equipment	691	(10,916)	-
Proceeds on sale of property and equipment	-	765	-
Proceeds on disposal of non current assets held for sale	-	15,500	-
Purchase of intangible assets	-	(252,620)	(67,524)
Purchase of government securities	(5,417,301)	(5,401,776)	(1,424,139)
Proceeds on maturity of government securities	3,426,000	2,876,600	1,301,000
Purchase of quoted equity instruments	-	-	-
Proceeds on sale of quoted equity instruments	259,377	273,605	142,455
Proceeds on redemption of corporate bonds	2,962	5,925	2,963
Dividends received on quoted equity instruments	52,690	111,489	68,745
Purchase of shares in associate company	-	-	-
Net cash used in investing activities	(1,716,102)	(2,428,351)	8,550
Cash flows from financing activities			
Dividends paid	-	(559,959)	-
Net increase (decrease) in cash and cash equivalents	(425,432)	(1,010,999)	831,865
At the beginning of period	3,245,755	4,257,349	4,257,349
Effect of unrealised exchange rates changes	-	(595)	-
At the end of period	2,820,323	3,245,755	5,089,214

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Jadhah Mwarania
Principal Officer

.....
David Kemei
Chairman

.....
Anthony Munyao
Director

